25STCV11186 25STCV11186

County: los-angeles

Division: Civil Law and Motion

Department: 732

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Case Number: 25STCV11186 Hearing Date: August 3, 2026 Dept: 732

AWI Builders, Inc. v. BO Bank, N.A.,

et al.

Monday,

August 3, 2026

CASE NUMBER: 25STCV11186

OPPOSED

Defendant BMO Bank,

N.A.'s Demurrer to the First Amended Complaint

Facts:

This is an action for breach of contract. The First Amended Complaint ("FAC") alleges as follows. Plaintiff AWI Builders, Inc. ("Plaintiff") entered into a contract with Defendant BMO Bank, N.A. ("Defendant") for banking services. (FAC ¶ 5.) Per that contract, Defendant was to reimburse Plaintiff for fraudulent checks of which Plaintiff notified Defendant within 30 days of mailing or making available the statement describing the checks. (FAC ¶ 10.) Plaintiff's May 30, 2024 statement contained two fraudulent checks together exceeding $37,000 in value, and Plaintiff notified Defendant of these charges on July 5, 2024, less than 30 days after receipt of the statement on June 10, 2024, and within the time permitted by contract. (FAC ¶¶ 6, 8, 19.) But Defendant failed to reimburse Plaintiff for the checks, reasoning that the notice was untimely.

(FAC. ¶ 8.)

Procedural History: Plaintiff filed the original complaint on April 16, 2025, and filed the FAC on November 12, 2025, alleging two causes of action:

1. Breach of Contract

2. Breach of Implied Covenant of Fair Dealing

Defendant field the present demurrer on December 11, 2026.

Plaintiff filed an opposition on July 21, 2026.

Defendant filed a reply on July 27, 2026.

Analysis:

I. DEMURRER

A demurrer should be sustained only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Pro., §§ 430.30, et seq.) In particular, as is relevant here, a court should sustain a demurrer if a complaint does not allege facts that are legally sufficient to constitute a cause of action. (See id. § 430.10, subd. (e).) As the Supreme Court held in Blank v. Kirwan (1985) 39 Cal.3d 311: "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. . . . Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (Id. at p. 318; see also Hahn. v. Mirda (2007) 147 Cal.App.4th 740, 747 ["A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. [Citation.]")

"In determining whether the complaint is sufficient as against the demurrer … if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

"A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of Cal., Inc. (1993) 14 Cal.App.4th 612, 616.) Such demurrers "are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (Mahan v. Charles W. Chan Insurance Agency, Inc. (2017) 14 Cal.App.5th 841, 848.)

A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (Schifando v. City of Los Angeles, supra, 31 Cal.4th at p. 1081.) The demurrer also may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (Krawitz v. Rusch (1989) 209 Cal.App.3d 957, 967.)

Defendant BMO Bank, N.A. ("Defendant") demurrers to the first and second causes of action for breach of contract and breach of the implied covenant of good faith and fair dealing in the First Amended Complaint ("FAC") of Plaintiff AWI Builders, Inc. ("Plaintiff") on the grounds that the contract terms upon which the claims rely, and those contained in a concurrent request for judicial notice, warrant dismissal of Plaintiff's claims, as they show that no breach of contract occurred. (Demurrer at pp. 7–10.) .) Plaintiff does not dispute the authenticity of the documents for which Defendant seeks judicial notice, and "[t]he existence and contents of a written agreement may be the proper subject of judicial notice if there is no factual dispute that the document is genuine and accurate." (Chacon v. Union Pacific Railroad (2020) 56 Cal.App.5th 565, 572.)

The basis for Defendant's argument is this. The FAC alleges that Defendant breached its agreement to provide banking services to Plaintiff by failing to reimburse Plaintiff for fraudulent checks identified to Defendant within the contractual time period, which per the contract is "within thirty (30) days of the date we mailed or made available the earliest statement" containing the checks. (FAC ¶ 10; RJN Exh. 1 at p. 15.) Defendant argues that per the FAC, Plaintiff notified Defendant of the checks on July 5, 2024, more than 30 days after the preparation of the May 31, 2024 statement, and thus it is Plaintiff, rather than Defendant, that bears the burden of the fraudulent checks. (Demurrer at pp. 7–8.)

This argument fails, because no facts alleged in the FAC or contained in judicially noticeable matters indicate that the statement at issue was mailed or made available to Plaintiff more than 30 days before July 5, 2024, when Plaintiff gave notice of the fraudulent checks. The FAC alleges that May 31, 2024 was the "statement date" (FAC ¶ 8), and that it was received in the mail "on the week of June 10, 2024." (FAC ¶ 6.) But these allegations do not establish, as Defendant contends, that the statement was mailed or made available on May 31, 2024, or more than 30 days prior to July 5, 2024. To the contrary the FAC alleges that Plaintiff "reported each unauthorized transaction referenced above within the time required under the account agreement." (FAC ¶ 19.)

The court thus need not address the competing contractual interpretations of Plaintiff and Defendant as to whether the contractual language refers to the earlier or later of the mailing or making available of the statement (See Opposition at pp. 5–6), as even under Defendant's interpretation, no facts disclosed in the FAC or judicially noticeable materials indicate that the July 5, 224 notice was untimely. The demurrer is therefore OVERRULED as to the first cause of action for breach of contract.

As to the second cause of action, Defendant argues that it fails because it alleges no wrong distinct from breach of the contract, and that it seeks to impose extra-contractual duties upon Defendant. (Demurrer at pp. 8–10.)

The implied covenant of good faith and fair dealing cannot be read to require defendants to take a particular action that is discretionary under the contract when the contract also expressly grants them the discretion to take a different action. To apply the covenant to require a party to take one of two alternative actions expressly allowed by the contract and forgo the other would contravene the rule that the implied covenant of good faith and fair dealing may not be "read to prohibit a party from doing that which is expressly permitted by an agreement."

(Bevis
v. Terrace View Partners, LP (2019) 33 Cal.App.5th 230, 256.)

Defendant
is correct that the second cause of action fails to allege breach of the implied covenant. The conduct forming the breach is Defendant's alleged use of "standard delivery methods" for statements, rather than a "timely mailing service" to ensure timely receipt of statements, and that it "failed to employ the fraud-detection technology or methods that are customarily used to identify forgeries or forged checks." (FAC ¶¶ 28–29.) But the contract expressly allocates to Plaintiff the responsibility for detecting fraud in compliance with relevant notice provisions, meaning that Defendant's failure to use reasonable detection does not furnish a basis for breach of the implied covenant. (RJN Exh. A at p. 15.) ""[A]n implied covenant of good faith and fair dealing cannot contradict the express terms of a contract. (Y.P. v. Wells Fargo Co. (2026) 119 Cal.App.5th 1069, 1084.)[1]

And
Plaintiff alleges receipt of the statement at issue during the week of June 10, 2024, with no additional factual allegations to establish that this left an insufficient or unreasonable amount of time in which Plaintiff could evaluate the statement for fraud. Plaintiff thus alleges no conduct "contrary to the contract's purpose and the parties' legitimate expectations." (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

The
demurrer is therefore SUSTAINED with leave to amend as to the second cause of action for breach of the implied covenant, and OVERRULED as to the first cause of action for breach of contract. Any amended pleading shall be filed within 20 days of this order.

Superior Court of

California

County of Los Angeles

Department 732

AWE BUILDERS, INC..

Plaintiff,

v.

BMO BANK,
N.A., et al.,

Defendants.

Case No.: 25STCV11186

Hearing Date: August 3, 2026

[TENTATIVE] RULING RE:

Defendant BMO Bank, N.A.'s Demurrer to the First Amended Complaint.

Defendant BMO Bank, N.A.'s Demurrer to the First Amended Complaint is SUSTAINED with leave to amend as t the second cause of action for breach of the implied covenant of good faith and fair dealing, and OVERRULED as to the first cause of action for breach of contract. Any amended pleading shall be filed within 20 days of this order.

Dated: August 3, 2026

____

Hon.
Richard S. Kemalyan

Judge
of the Superior Court

[1] Per this same case, “a contract between a bank and a depositor ‘may determine’ the bank's standard of care so long as it is not unreasonable.” (Y.P. v. Wells Fargo Co. (2026) 119 Cal.App.5th 1069, 1080, quoting Commercial Code § 4103, subd. (a).) The FAC contains no allegations challenging the contract’s apportionment of responsibility.